



GARP (Growth at Reasonable Price)

Here we try to achieve a balance between **growth** and **value**.

In this Case

- The investor looks to invest in moderate EPS growth outlook, at reasonable valuations.
- The investor may still overpay a bit but not extraordinarily.
- Regarding valuations, we are very picky here.

So the difference between growth investing and GARP lies in the amount that **we are ready to pay**.

In growth, we are ready to pay exorbitant premiums for the company while in GARP we have a boundary, a limitation up to which we are ready to pay a premium.



Income Based Investing

The entire investment philosophy is based on dividends rather than stock capital gains.

Elderly people who have a regular need for cashflow to cover their living expenses follow such an approach.

They place more emphasis on dividends and cash flows than capital growth. A lot of investors concentrate on this as well and then reinvest in their portfolio.

End Note

Every investor will develop their investing philosophies that will act as a guide for investing and selecting stocks.

Assume that you follow value investing. Waiting a long time for attractive valuations is something that you would do.

Instead, if you are a growth investor, you might take a hit on the price and move forward for growth. But the risk is that is that you have paid significantly high amounts, and the downside is also relatively high if the growth does not play out.